

		(Chamber v. United of Omaha Life Ins. Co. (9th Cir. 2000) 225 F.3d 1042, 1048.) Likewise, a defense to the predicate claim is a defense to the alleged violation of the UCL. (Krantz, 89 Cal.App.4th at 178.) The claim for violation of UCL is based on a claim that Cross-Defendants committed fraud against Cross-Complainants. (SAXC, ¶ 91.) Accordingly, because Cross-Complainants fraud claims fail, the UCL claim also fails. Thus, the demurrer to the 10th cause of action is SUSTAINED with leave to amend. 14. 11th and 12th Causes of Action: Open Book Account and Money Had and Received The only essential allegations of a common count are ‘(1) the statement of indebtedness in a certain sum, (2) the consideration, i.e., goods sold, work done, etc., and (3) nonpayment.’” (Farmers Ins. Exchange v. Zerlin (1997) 53 Cal.App.4th 445, 460, internal citations omitted.) However, when a common count is used as an alternative way of seeking the same recovery demanded in a specific cause of action, and is based on the same facts, the common count is demurrable if the cause of action is demurrable.” (McBride v. Boughton (2004) 123 Cal.App.4th 379, 394, internal citations omitted.) Here, Cross-Complainants allege in their conversion claim that MMJ paid money to Providence under the Lease. (SAXC, ¶ 73.) In their common counts, they allege they into financial transactions with Providence and that “Cross-Defendants owe money to Cross-Complainants on the account of such transactions.” (SAXC, ¶¶ 98, 102.) Accordingly, Cross-Complainants seek to recover the same money they seek in their breach of contract claim and conversion, which is based on the same facts. Therefore, the common counts fail for the same reason the conversion claim fails. Thus, the demurrer to the 11th and 12th causes of action is SUSTAINED with leave to amend. <u>Motion to Strike</u> Based on the recommendation on the Demurrer. The motion to strike it moot.
14	24-01375927 <i>Realpage, Inc. vs. County of Orange</i>	Demurrer to Amended Complaint The Demurrer to Plaintiff’s First Amended Complaint (FAC) by Defendant State of California, by and through California Department of Food and Agriculture (State) is OVERRULED as to the first, second, and sixth causes of action. and SUSTAINED with leave to amend as to the third, fourth, and fifth causes of action. <u>Legal Standard:</u>

“The rules by which the sufficiency of a complaint is tested against a general demurrer are well settled. We not only treat the demurrer as admitting all material facts properly pleaded, but also give the complaint a reasonable interpretation, reading it as a whole and its parts in their context. If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is Stated, that aspect of the complaint is good against a demurrer. [¶] The courts of this State have long since departed from holding a Plaintiff strictly to the form of action that has been pleaded and instead have adopted the more flexible approach of examining the facts alleged to determine if a demurrer should be sustained. Where, as here, the demurrer is based on a claim that the pleading does not State facts sufficient to constitute a cause of action, if it appears that the Plaintiff is entitled to any relief at the hands of the court against the defendants, the complaint will be held good, although the facts may not be clearly Stated, or may be intermingled with a Statement of other facts irrelevant to the cause of action shown, or although the Plaintiff may demand relief to which he is not entitled under the facts alleged. [¶] In reviewing the legal sufficiency of a demurrer, we are not concerned with Plaintiff’s ability to prove the allegations of the complaint, or the possible difficulties in making such proof.” (*Berry v. Frazier* (2023) 90 Cal.App.5th 1258, 1268 [cleaned up].) At the pleading stage, the Court must liberally construe the complaint, drawing all reasonable inferences in favor of Plaintiffs’ asserted claims. (*Liapes v. Facebook, Inc.* (2023) 95 Cal.App.5th 910, 919.)

First Cause of Action – Injunctive Relief and Second Cause of Action – Declaratory Relief:

In the First Amended Complaint (FAC), Plaintiff alleges six claims against the State and County arising from the County’s inspection and testing of 720 water meters, which Plaintiff alleges damaged the water meters it had purchased from a third party.

Plaintiff alleges the County’s Weights and Measures Department is a division of the State’s Department of Food and Agriculture. (¶ 11.) Plaintiff alleges the State and Karen Ross, its Secretary of Agriculture, are liable because they are “responsible for issuing instructions and making recommendations to County Sealers in California regarding the inspections of water meters required to be completed.” (¶ 21.) The alleged testing required by the State and County “involves breaking the manufacturer seal and results in the voiding of the warranty of each and every water meter inspected, preventing the purchaser from seeking any repair under warranty.” (¶ 25.)

The State contends injunctive relief is a remedy, not a cause of action. It further contends that there is no alleged conduct by the State giving rise to a claim for declaratory relief in the FAC. Rather, the County sealer’s conduct is at issue.

In opposition, Plaintiff states, “Although Plaintiff does not yet know exactly how the inspection breaks the seal, thus voiding the warranty,

nor does it know the role of each party in creating the law requiring the inspection and determining the procedure to be used, the fact is that it does, and this Court must accept those allegations as true. (*Del. E. Webb Corp.*, 123 Cal.App.3d at 604.)” (Opp. at p. 4.)

At this stage, Plaintiff has adequately pled claims for equitable relief against the State arising from the alleged requirement that inspections must occur which break the seal and void the manufacturer warranty. Plaintiff may plead the request for injunctive relief as a separate claim for clarity. Therefore, the demurrer is overruled as to the 1st and 2nd causes of action.

Third Cause of Action – Negligence Per Se:

The State contends Plaintiff has not alleged facts that could show a State employee, acting within the scope of their employment, committed a negligent act or omission giving rise to a negligence claim against the State. (Gov. Code § 815.2.) Rather, the State issued instructions and made recommendations which govern the County’s procedures under Bus. & Prof. Code § 12104, which are enforced by County employees under § 12103.5.

At paragraph 40, Plaintiff alleges, “Defendants The STATE OF CALIFORNIA, KAREN ROSS, and Does 4 through 6 were negligent in issuing instructions and making recommendations to County Sealers in California requiring the inspection of the meters to be completed in such a way as to allow the warranty to be voided on all the water meters and causing damage to the water meters.”

The State contends it cannot be liable for discretionary acts of its employees, even if such acts are an abuse of discretion under Government Code section 820.2, which states:

“Except as otherwise provided by statute, a public employee is not liable for an injury resulting from his act or omission where the act or omission was the result of the exercise of the discretion vested in him, whether or not such discretion be abused.”

Here, Plaintiff alleges the State is vicariously liable for issuance of instructions and recommendations under Business and Professions Code section 12104(a), which required the State to “issue instructions and make recommendations to the County sealers, and the instructions and recommendations shall govern the procedure to be followed by these officers in the discharge of their duties.” Although it is mandatory for the State to issue instructions and recommendations, the statutory scheme appears to vest discretion in the State’s employees with regard to the substance of such instructions and recommendations. (Bus. & Prof. Code § 12100 et seq.) Plaintiff has not responded to the State’s argument regarding section 820.2 or shown there was non-discretionary conduct involved. Therefore, the demurrer is sustained as to this cause of action.

Fourth Cause of Action – Conversion:

Conversion comprises three elements: (1) Plaintiff's ownership or right to possession of personal property, (2) defendant's disposition of property in a manner inconsistent with Plaintiff's property rights, and (3) resulting damages. (*Voris v. Lampert* (2019) 7 Cal. 5th 1141, 1150.)

The State contends there is no allegation it dispossessed Plaintiff of property or interfered with Plaintiff's property and that it is immune under Government Code section 820.2.

The demurrer to this cause of action is sustained because it arises from allegations of discretionary conduct, i.e. issuance of instructions and recommendations, for which the State is immune under government code section 820.2.

Fifth Cause of Action – Trespass to Chattels:

This claim is similarly based on the State's wrongful possession/damage to the water meters purchased by Plaintiff. The State contends Plaintiff has not pled conduct by a State employee sufficient to support this claim and that discretionary immunity applies.

The demurrer to this cause of action is sustained because it arises from allegations of discretionary conduct for which the State is immune under government code section 820.2.

Sixth Cause of Action – Inverse Condemnation:

Plaintiff alleges the water meters were taken for public use/inspection by the County pursuant to the State's instructions, and as a result of the taking, Plaintiff was deprived of its use of the water meters.

The State contends there was no alleged public project or improvement that gave rise to the alleged taking and that, " 'A party who does nothing more than establish property damage as the result of negligent conduct of public employees or a public entity has not established a right to recover under a claim of inverse condemnation.' (City of Los Angeles v. Superior Court (2011) 194 Cal.App.4th 210, 221, citing Customer Co. v. City of Sacramento (1995) 10 Cal.4th 368, 381.)" (Demurrer, p. 9.) The County does not contend discretionary immunity applies to an inverse condemnation claim which involves direct, not vicarious, liability.

At this stage, Plaintiff has adequately pled a claim for inverse condemnation including that the inspection of the water meters constituted a taking of property for public use or benefit. (*Wildensten v. East Bay Regional Park Dist.* (1991) 231 Cal.App.3d 976, 980.)